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Set up a custom pay policy

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ADMINISTRATORS



TIME & ATTENDANCE

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Objective

Custom pay policies enable you to specify additional pay requirements that are unique to your company. Some common examples of custom payments that can be calculated and paid out through custom pay policies include meal break premiums, shift differentials, and holiday incentive pay.

Custom pay policies are more than simply specialized overtime and break policies. Overtime and break policies are intended to help you stay compliant with local regulations for overtime calculations and break requirements. Whereas custom pay policies are a way of specifying additional pay requirements unique to your company. With custom pay policies, you rarely—if ever—need to edit the default overtime or break policies Rippling configures for you.

Setting up a custom pay policy in Rippling consists of the following basic steps:

- Step 1: Set up a custom pay rate
- Step 2: Set up a custom pay policy
- Step 3: Assign members to a custom pay policy

Step 1: Set up a custom pay rate

The first step is setting up a custom pay rate, as this is the basis of your pay policy and the compensation you want employees to receive. For example:

- If you want employees to receive a fixed rate premium on top of their base rate for all hours worked at night, you'll first need to set up a custom pay rate for the premium amount you wish to pay out.
- If you want to incentivize employees to cover a holiday shift, you may consider paying a multiple of your normal amount for work on a holiday - in which case,

you'd first need a custom pay rate set to the multiple you wish to pay out.

Depending on the country and payroll application for which you're setting up a custom pay policy, you'll either need to configure a custom pay rate in Rippling Payroll or Rippling Global Payroll. The articles below guide you through configuring a custom rate and customizing your rate, such as setting up a default hourly rate, a multiple of base pay, or setting a unique rate per employee.

- [Set up custom pay rates in Rippling Payroll](#)
- [Set up custom pay rates in Rippling Global Payroll](#)

Step 2: Set up a custom pay policy

Once you've set up your custom rates, you can create your custom pay policies that incorporate those pay rates.

Background information

Custom pay policies are built and triggered by a series of rules. Each rule consists of a condition (or conditions) and an action. If the condition is met, the action is applied. For example:

- **Rule:** Working on a company holiday
- **Condition:** If an employee works on a company holiday
- **Action:** Apply custom pay rate

You can also create rules with multiple conditions using AND and OR statements. For example:

- **Rule:** Minimum statutory shift length
- **Conditions:**
 - If an employee works fewer than 4 hours in 1 day, AND
 - If an employee works any of the following jobs: Leslieville OR Beaches OR Bloor.
- **Action:** Apply a minimum shift length of 4 hours
- **Explanation:** When an employee works fewer than 4 hours in a day, AND they worked one of the identified job codes (Leslieville, Beaches, OR Bloor), apply a minimum shift length of 4 hours.

Note: Rippling evaluates overtime policies before custom pay policies.

Create a custom pay policy

Note: This article provides instructions for the new Time Settings experience, which is currently available to a limited set of customers. If your experience doesn't match what's described, your account may not have been upgraded yet — navigate to **Time > Policies** instead and locate the relevant policy category. Learn more in this article, which provides an [overview of the new Time Settings experience](#).

To create a custom pay policy, follow these steps:

1. From the main sidebar, select **Time**.
2. From the *Time* sidebar, select **Time Settings**.
3. Within the *Attendance* section, click **Custom pay**.
4. Select how employees are paid: **Payroll** (US) or **Global Payroll**.
5. If you select *Global Payroll*, select the applicable country and entity for the policy.
6. Click **Add new policy**.
7. Input a name for the custom pay policy.
8. Click the **pencil icon** next to *Rule 1*, input a descriptive name so you can easily identify the rule when you're reviewing a policy, and click **Save**.
9. Click **+ New condition**.
10. Configure the rules' conditions. Learn more in the *Conditions types* section below.
11. Click **Save**.
12. To add an AND condition, click **Add another condition**, configure the condition, and click **Save**. To add an OR condition, click **+ Add OR condition**, configure the condition, and click **Save**.
13. Click **+ Add action**.
14. Configure the rules' action. Learn more in the *Action types* section below.
15. Click **Save**.
16. To add additional rules, click **+ Add rule** and repeat the steps above.
17. Click **Continue**.

Note: The custom pay policy will only apply to employees in the payroll application, country, and entity for which you've configured it. If you want to configure custom pay policies that apply to employees in both Payroll and Global Payroll, or across multiple countries in Global Payroll, you'll need to configure each custom pay policy separately.

Condition types: Individual time entry conditions

Specific days and times

The *Specific days and times* conditions allow you to trigger custom pay actions based on when an employee works.

If the employee works on...

- **Any day**
- **Weekdays:** Always Monday to Friday. Does not take into consideration a custom [weekend policy](#).
- **Weekends:** Always Saturday and Sunday. Does not take into consideration a custom [weekend policy](#).
- **Certain days in week:** Select the days in the week.
- **Certain dates:** Enter the date. Click + **Add date** to add additional dates.
- **Dates within a range:** Enter the range's start and end dates.
- **Company holidays:** References your company's [holiday policy](#).
- **A day with approved time off**
- **Working days:** Days the employee is scheduled to work, based on the employee's configured work schedule. Learn more in this article that provides an [overview of working and non-working days in overtime and custom pay policies](#).
- **Non-working days:** Days the employee is not scheduled to work, based on the employee's configured work schedule. Learn more in this article that provides an [overview of working and non-working days in overtime and custom pay policies](#).

If the employee works at...

- **At any time of day**
- **Before:** This is the time after midnight and before the defined time.

- **After:** This is the time after the defined time and before midnight.
- **Between:** Select the times between which the action should be triggered.

Note: All times are based on the timezone of the worker's defined work location or their home address if they are remote.

Start and/or end hours

The *Start and/or end hours* conditions allow you to trigger custom pay actions based on when an employee clocks in and clocks out.

When the shift starts/ends on...

- **Any day**
- **Weekdays:** Always Monday to Friday. Does not take into consideration a custom [weekend policy](#).
- **Weekends:** Always Saturday and Sunday. Does not take into consideration a custom [weekend policy](#).
- **Certain days in week:** Select the days in the week.
- **Certain dates:** Enter the date. Click + **Add date** to add additional dates.
- **Dates within a range:** Enter the range's start and end date.
- **Company holidays:** References your company's [holiday policy](#).
- **A day with approved time off**
- **Working days:** Days the employee is scheduled to work, based on the employee's configured work schedule. Learn more in this article that provides an [overview of working and non-working days in overtime and custom pay policies](#).
- **Non-working days:** Days the employee is not scheduled to work, based on the employee's configured work schedule. Learn more in this article that provides an [overview of working and non-working days in overtime and custom pay policies](#).

Note: If both a start-day and end-day condition are configured, both must match for the condition to trigger. For example, you can configure a condition that fires when a shift starts on a working day and ends on a non-working day.

When the shift starts/ends at...

- **At any time of day**
- **Before:** This refers to the time period after midnight and before the defined time.
- **After:** This refers to the time period after the defined time and before midnight.
- **Between:** Select the times between which the action should be triggered.

Note: All times are based on the timezone of the worker's defined work location or their home address if they are remote.

Rates / Dimensions / Jobs

The *Rates / Dimensions / Jobs* conditions allow you to trigger custom pay based on which pay rates, job dimensions, and/or job codes are being applied to the hours worked. For example, you can choose to exclude hours worked at a specific job code from custom pay considerations.

Includes time worked...

- **At base pay rate(s) only:** Counts only time at the selected base pay rate(s) without overtime towards hours worked.
- **At overtime pay rate(s) only:** Counts only overtime at the selected base pay rate(s) towards hours worked.
- **At base and overtime pay rate(s):** Counts time at the selected base pay rate(s) both with and without overtime, toward hours worked.

Dimensions

- **At any dimension:** There are no restrictions based on dimension. All dimensions are included.
- **At any dimension except:** Select the dimensions to exclude.
- **At specific dimensions:** Select the dimensions to include.

Job codes

- **At any job code:** There are no restrictions based on job code. All job codes are included.
- **At any job code except:** Select the job codes to exclude.
- **At specific job codes:** Select the job codes to include.

Should we count hours without a dimension / job towards hours worked?

- **Yes:** Even if hours are not assigned a dimension or job code, they are still counted toward the total hours worked.
- **No:** Hours that are not assigned a dimension or job code are not counted toward hours worked.

Shift inputs

The *Shift inputs* conditions allow you to trigger custom pay actions based on whether or not an employee has a specific shift input or a shift input group on their time entry and, optionally, what the value of the shift input is.

Shift inputs are used to add additional information to shifts about the work performed or the conditions under which the work was performed.

For example, team members can input:

- The number of kilometers they drove.
- Issues encountered during the shift.
- Equipment used.
- Shift handoff notes.

Learn more in this article about [shift inputs](#) and [shift input groups](#).

Unplanned work

This condition triggers for any time worked outside the employee's standard working hours pattern. Learn more in this article about [standard working hours pattern](#). If a standard working hours pattern is not configured on an employee's profile, Rippling reverts to the [work hours policy](#) to which the employee is assigned.

Missing breaks

The *Missing breaks* condition triggers when a required break is considered missing. A required break is considered missing if:

- It hasn't been taken, and the window of time in which it must be taken has expired.
- It has been taken, but it was insufficiently long.

You can configure this condition to only trigger for certain break types or certain break survey responses (when enabled). If no break types or break survey responses are selected, Rippling applies this condition to all break types and all break survey responses.

Condition types: Aggregate conditions

Hours over/under threshold

The *Hours over/under threshold* conditions enable you to trigger custom pay actions based on whether an employee has worked fewer or more than a specified number of hours or minutes within a specified period of time at a pre-specified pay rate (optional). For example, trigger the action if an employee works more than 10 hours in a single workday.

Condition

Specific days and times

Start and/or end hours

Hours over/under threshold

Days worked in period

Weeks worked in period

Rates / Dimensions / Jobs

Hours worked in lookback period

Missing breaks

Shift inputs

Unplanned work

Hours over/under threshold

When an employee has worked

More than

10 hr(s)

min(s)

in 1

calendar day(s)

Once this threshold is met, all subsequent hours in the specified period will qualify. To restrict your action only to subsequent hours with certain job dimensions or codes, make sure to include a separate "Dimensions / Jobs" condition.

☒ Include non-qualifying hours after threshold

☐ Trigger only if all hours qualify

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When an employee has worked...

- **More than:** Once the defined threshold is met, all subsequent hours in the specified period will qualify. To restrict your action only to subsequent hours with specific job dimensions or codes, make sure to include a separate *Rates / Dimensions / Jobs* condition.
- **Less than:** If the defined threshold isn't met, the condition is triggered. To restrict the action only to hours with specific job dimensions or codes, make sure to include a separate *Rates / Dimensions / Jobs* condition.

Note: Customers whose workers are paid by Rippling Global Payroll can also configure the following settings:

- **A specific amount of time**
- **A percentage of time**

When an employee has worked... [time period]

- **Within a shift**

- **Calendar day(s):** Defined as 12 AM until 11:59 PM in the employee's work location time zone.
- **Workday(s):** As defined by the workday cutover time in your [time tracking policy](#).
- **Rolling day(s):** A period of time that is constantly updated based on the current date. For example, 30 rolling days refers to the 30-day period immediately preceding the current date.
- **A pay period:** As defined by the pay period within your company's [pay schedule](#) in Payroll. Please note that this could be different than the company's workweek, and you can verify the start of the workweek by navigating to *Time > Policies > Time tracking > Edit the time policy in question*.
- **Calendar week(s):** The calendar week always starts on Sunday and does not take into consideration the start of the worker's workweek.
- **Work week(s):** As defined by the first day in your work week in your [time tracking policy](#).
- **Rolling week(s):** A period of time that is constantly updated based on the current date. For example, '3 rolling weeks' refers to the 3-week period immediately preceding the current date.
- **Month(s)**
- **Year(s)**
- **Time range:** Define the specific time range for which the condition applies.
- **Working days:** Counts only hours worked on the employee's scheduled working days toward the threshold. Learn more in this article that provides an [overview of working and non-working days in overtime and custom pay policies](#).
- **Non-working days:** Counts only hours worked on the employee's scheduled non-working days toward the threshold. Learn more in this article that provides an [overview of working and non-working days in overtime and custom pay policies](#).

Over/under the employee's configured contractual hours

When configuring a custom policy for France or Australia, within the condition builder's *Hours over/under threshold*, you can build a condition for when the employee has worked more than *the employee's configured contractual hours*. This value is fetched from the employee's [standard working hours pattern](#).

Include non-qualifying hours after threshold

When *Include non-qualifying hours after threshold* is enabled, non-qualifying hours are counted in the trigger period.

For example, consider the condition trigger “if an employee works more than 8 hours in job code A in a week,” and an employee who works 8 hours in job code A on Monday and 8 hours in job code B on Tuesday

- If *Include non-qualifying hours after threshold* is checked, the time worked on Tuesday is counted in the trigger period, even though Tuesday was worked at code B.
- If *Include non-qualifying hours after threshold* is unchecked, the time worked on Tuesday will not trigger the action because it doesn’t qualify as part of job code A.

Trigger only if all hours qualify

When *Trigger only if all hours qualify* is enabled, the condition will only trigger if all hours in the specified period meet the qualification.

Trigger for whole shift if condition is satisfied

This setting only applies when the *Within a shift* time period is selected. When *Trigger for whole shift if condition is satisfied* is enabled, and the condition is met, all of the hours in the shift will be considered qualifying. Normally, only the hours over the threshold will be considered qualifying.

Count the entire shift once the threshold is met

This setting only applies when the time range time period is selected. When *Count the entire shift once the threshold is met* is enabled, and the threshold is met, all of the hours in the shift will be considered qualifying. For example, if *Count the entire shift once the threshold is met* is enabled and the condition specifies a threshold of 3 or more hours worked between the time range of 9 PM to 7 AM, and an employee works from 5 PM to 1 AM, the entire shift will be compensated at a custom or premium pay rate.

Note: This setting is only available to customers of Rippling’s Global Payroll product.

Where hours worked are on...

Define which days are qualifying based on specific day characteristics.

- **Any day**
- **Weekdays:** Monday to Friday
- **Weekends (Saturday and Sunday)**
- **Certain days in week:** Select the days of the week for which the condition is triggered.
- **Certain dates:** Select the dates for which the condition is triggered.
- **Dates within a range:** Select the date range for which the condition is triggered.
- **Company holidays:** As defined in your company's [holiday policy](#).
- **A day with approved time off**

Filter time working using...

- **Pay rates:** Select whether you want to include time worked at any pay rate or define specific pay rates.
- **Overtime classifications:** Select whether you want to include time worked...
 - **At base and overtime pay rate(s):** Counts time at the selected base pay rate(s) both with and without overtime, toward hours worked.
 - **At base pay rate(s) only:** Counts only time at the selected base pay rate(s) without overtime towards hours worked.
 - **At overtime pay rate(s):** Counts only overtime at the selected base pay rate(s) towards hours worked.

Overtime:

If you selected to include time worked at overtime pay rate(s) or at base and overtime pay rate(s), define your multipliers.

- **Any multiplier**
- **Up to a specific multiplier (not inclusive):** If you select this option, input the multiplier number in the *Multiplier* field.

Dimensions

- **At any dimension:** There are no restrictions based on dimension. All dimensions are included.
- **At any dimension except:** Select the dimensions to exclude.
- **At specific dimensions:** Select the dimensions to include.

Job codes

- **At any job code:** There are no restrictions based on job code. All job codes are included.
- **At any job code except:** Select the job codes to exclude.
- **At specific job codes:** Select the job codes to include.

Should we count hours without a dimension / job towards hours worked?

- **Yes:** Even if hours are not assigned a dimension or job code, they are counted toward hours worked.
- **No:** Hours that are not assigned a dimension or job code are not counted toward hours worked.

Includes time off (or Count time off hours towards threshold)

Indicate whether time off should be counted towards hours worked. If enabled, select whether you want to include time off for any leave type or select the specific leave types to include.

Includes holidays (or Count holiday hours towards threshold)

Indicate whether or not holidays marked as *Count towards hours worked* in your company's [holiday policy](#) should be included.

Days worked in period

The *Days worked in period* conditions allow you to trigger custom pay actions based on whether an employee works more than a certain number of days, in a specific period of time, while working at least a set number of hours per day (optional). For

example, trigger the action if an employee worked more than 6 days in 1 rolling week, while working at least 4 hours per day.

When an employee works at least... [time period]

- **Calendar week(s):** The calendar week always starts on Sunday and does not take into consideration the start of the worker's workweek.
- **Work week(s):** As defined by the first day in your work week in your [time tracking policy](#).
- **Rolling week(s):** A period of time that is constantly updated based on the current date. For example, '3 rolling weeks' refers to the 3-week period immediately preceding the current date.
- **Month(s)**
- **Year(s)**

While working per day at least...

- **Hours (hr(s)):** Optionally, define the minimum number of hours the employee must work per day to qualify for the condition.
- **Minutes (min(s)):** Optionally, define the minimum number of minutes the employee must work per day to qualify for the condition.

Includes time worked...

- **At base and overtime pay rate(s):** Counts time at the selected base pay rate(s) both with and without overtime, toward hours worked.
- **At base pay rate(s) only:** Counts only time at the selected base pay rate(s) without overtime towards hours worked.
- **At overtime pay rate(s):** Counts only overtime at the selected base pay rate(s) towards hours worked.

Base rate:

- **Any pay rate**

Overtime:

If you selected to include time worked at overtime pay rate(s) or at base and overtime pay rate(s), define your multipliers.

- **Any multiplier**
- **Up to a specific multiplier (not inclusive):** If you select this option, input the multiplier number in the *Multiplier* field.

Count time off hours towards threshold

Indicate whether time off should be counted towards hours worked. If enabled, select whether you want to include time off for any leave type or select the specific leave types to include.

Weeks worked in period

The *Weeks worked in period* conditions allow you to trigger custom pay actions based on whether an employee works more than a certain number of weeks, in a specific period of time, while working at least a set number of hours per week (optional). For example, trigger the action if an employee has worked more than 48 weeks in 1 year.

When an employee works at least... [time period]

- **Month(s)**
- **Year(s)**

While working at least...

- **Hours per week:** Optionally, define the minimum number of hours the employee must work per week to qualify for the condition.

Hours worked in lookback period

The *Hours worked in lookback period* conditions allow you to trigger custom pay actions based on the hours worked in a lookback period, including the gap in time since an employee's last shift. For example, trigger the action if an employee has worked in the past 10 hours.

If an employee has worked within the last...

Define the lookback range by indicating its number of hours and/or minutes.

While including...

- **All shifts in lookback period**
- **Specific number of shifts in lookback period:** If selected, define the the number of most recent shifts in the lookback period that should be included.

Includes time worked...

- **At base and overtime pay rate(s):** Counts time at the selected base pay rate(s) both with and without overtime, toward hours worked.
- **At base pay rate(s) only:** Counts only time at the selected base pay rate(s) without overtime towards hours worked.
- **At overtime pay rate(s):** Counts only overtime at the selected base pay rate(s) towards hours worked.

Base rate:

- **Any pay rate**

Overtime:

If you selected to include time worked at overtime pay rate(s) or at base and overtime pay rate(s), define your multipliers.

- **Any multiplier:**
- **Up to a specific multiplier (not inclusive):** If you select this option, input the multiplier number in the *Multiplier* field.

Spread of hours

The *Spread of hours* condition applies when the time between the first clock-in of the workday and the last clock-out exceeds the threshold. Time entries are assigned to a workday based on start time. For example, if an employee has three time entries for a day, 8 AM - 10 AM, 12 PM - 2 PM, and 4 PM - 6 PM, the spread of hours for the day is 8 AM - 6 PM or 10 hours.

Time entry position

The *Time entry position* condition allows you to limit the evaluation of the rule to the relative position of a time entry within a specified period.

When the time entry is the...

Define whether you want the condition to apply to the first or last time entry within a work day or calendar day.

Determine period using...

Define whether you want to determine the period using the time entry's start time or end time.

Broken shift

The *Broken shift* condition allows you to identify gaps in work time within an employee's workday. For example, trigger the action if a worker has one gap in their workday of at least 2 hours. The trigger occurs just once per workday. Gaps in work time are defined as intervals between clock-out and clock-in times and do not include unpaid breaks. The *Broken shift* condition can be used to identify broken shifts under Australian modern awards.

Action types

Apply pay rate

Note: If a custom pay policy has multiple rules, each with an *Apply pay rate* action, the highest action applies; they do not stack.

Pay rate

Select a pay rate from the list of your company's custom pay rates. Learn more in this article about [managing earnings in payroll](#).

Credit towards overtime?

By default, Rippling does not count custom payments towards overtime due. However, you can optionally elect to do so. If this option is enabled, and the custom payment overlaps with owed overtime, Rippling credits this rate towards the owed overtime as long as the payment will result in at least the owed overtime compensation, if not more. If this option is not selected, or the rate is less than the owed overtime compensation, we will apply the custom rate at the requisite overtime multiplier. We encourage you to consult the FLSA before choosing to count a rate towards overtime due to ensure you'll remain in compliance.

- If an employee is receiving a pay rate under a custom pay policy that's already calculated at 1.5x their base pay rate, and is owed overtime for those same hours, they will only receive the custom pay rate for hours worked.
- If their custom pay rate for the hours is already 1.5x their base pay rate, the rate *will not* be multiplied by 1.5 again.

Salaried non-exempt employees

By default, Rippling applies the pay rate to all qualifying employees, including salaried non-exempt employees. To exclude salaried non-exempt employees from this payment, select the *Exclude this payment from salaried non-exempt employees* checkbox.

Salaried exempt employees

By default, Rippling applies the pay rate to all qualifying employees, including salaried exempt employees. To exclude salaried exempt employees from this payment, select the *Exclude this payment from salaried exempt employees* checkbox.

Add supplemental hours

If the employee works fewer than the minimum number of hours in a day, pay out supplemental hours equal to the amount of time required for them to be paid for that minimum number of hours. Learn more in this article about [setting up missed meal breaks, rest breaks, or other premium payments](#).

By default, the supplemental hours you select will be paid out every time the conditions you've specified evaluate to true. For instance, if you choose to pay out

supplemental hours for time worked on a Sunday, by default, Rippling will pay out the supplemental hours to an employee for each unique clock-in on a Sunday. If you'd like to change this behavior, you may specify a limit for the number of times the supplemental hours are paid out within a single day. If you'd like to keep the default behavior, please leave the *Limit* field blank.

conditions overtime or double overtime should trigger for your employees

Action

Apply pay rate

Apply premium

Add supplemental hours

Apply minimum shift length

If the employee works less than a minimum number of hours in a day, pay out supplemental hours equal to the amount of time required for them to be paid for that minimum number of hours.

Minimum hours

hr(s)

min(s)

At pay rate

Select

▼

By default, the supplemental hours you select will be paid out every time the conditions you've specified evaluate to true. For instance, if you choose to pay out supplemental hours for time worked on a Sunday, by default we will pay out the supplemental hours to an employee for each unique clock in on a Sunday. If you'd like to change this behavior, you may specify a limit for the number of times the supplemental hours are paid out within a single day. If you'd like to keep the default behavior, please leave the limit field blank.

Limit

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Save

Apply premium

Applying a premium rewards an employee with additional pay at the pay rate specified for either a fixed amount of time or for all qualifying hours. Learn more in this article about [setting up missed meal breaks, rest breaks, or other premium payments](#).

Apply to...

- **Fixed number of hours:** Add a fixed premium as a lump sum amount, equaling the total pay for the specified hours at the given rate. If you select this option, define the *Additional time given*.
- **All qualifying hours worked:** Apply premium rate to all hours that satisfy the rule condition(s), up to a specified cap. If you select this option, define the

Maximum qualifying time.

- **Hours specified in a shift input:** Apply premium rate to hours specified in a shift input. If you select this option, define the *Shift input specifying hours*.

At pay rate:

Select a pay rate from the list of your company's custom pay rates. Learn more in this article about [custom pay rates](#).

Limit Frequency

By default, the fixed premium you select will be paid out every time the conditions you've specified evaluate to true. For instance, if you choose to pay out a fixed premium for time worked on a Sunday, by default we will pay out the premium to an employee for each unique clock in on a Sunday. If you'd like to change this behavior, you may specify a limit for the number of times a fixed premium is paid out within a window of time. If you'd like to keep the default behavior, please leave the *Limit Frequency* field blank.

Limit Payout

By default, the premium you select will be paid out every time the conditions you've specified evaluate to true. If you'd like to change this behavior, you may specify a maximum amount limit within a window of time. If you'd like to keep the default behavior, please leave the *Limit Payout* field blank.

Note: If a custom pay policy has multiple rules, each with an *Apply premium* action, the actions stack so that all are applied.

Apply piece rate premium

Applying a piece rate premium rewards an employee with additional pay for piece rate work at the specified rate. Learn more in this article about [configuring piece rate pay](#).

Calculate premium earnings

- By multiplying a piece rate by a value.

At piece rate

Select from the piece rates available in your account. Learn more in this article about [configuring piece rate pay](#).

Multiplied by

- **A static value:** Select the number you want to multiply the piece rate by.
- **A shift input:** Select the shift input you want to multiply the piece rate by. Learn more in this article about [shift inputs](#).

Limit

By default, the premium you select will be paid out every time the conditions you've specified evaluate to true. If you'd like to change this behavior, you can specify a limit for the number of times a premium is paid out within a specified time frame. If you'd like to keep the default behavior, please leave the *Limit* field blank.

Limit Payout

By default, the premium you select will be paid out every time the conditions you've specified evaluate to true. If you'd like to change this behavior, you can specify a maximum amount limit within a specified time window. If you'd like to keep the default behavior, please leave the *Limit Payout* field blank.

Apply to Leave Balance

Applying a leave balance accrual bonus rewards the employee with additional time off at the selected leave type. The accrual bonus will be reflected once the corresponding pay run has been processed and will only be applied to employees who are on a time off policy that offers a fixed amount of time for the selected leave type.

Apply to

Select the policy from the list of your company's time off policies that offer a fixed amount of time.

For

- **Fixed number of hours:** Apply a leave balance accrual bonus equal to the total specified hours. If you select this option, define the *Additional time given*.
- **All qualifying hours worked:** Apply a leave balance accrual bonus to all hours that satisfy the rule condition(s), up to a specified cap. If you select this option, define the *Time accrual multiplier* and *Maximum qualifying time*.

Time accrual multiplier

If you selected *All qualifying hours worked*, set how many hours of time off an employee receives for each hour of overtime worked. For example, a multiplier of 1.5 means an employee gets 1.5 hours of time off for every 1 hour of overtime worked.

Maximum qualifying time

If you selected *All qualifying hours worked*, you can optionally configure a specified cap for a single bonus. If specified, a single accrual bonus will not exceed this cap.

Set accrual expiration

An accrual bonus with an expiration will expire after the set duration if the employee does not use it within that time. Enter the days and/or months until the accrual should expire.

Limit

If you selected *Fixed number of hours*, by default, the fixed accrual bonus you select will trigger every time the conditions you've specified evaluate to true. For instance, if you choose to trigger the bonus for time worked on a Sunday, by default the bonus will trigger for each unique clock in on a Sunday. If you'd like to change this behavior, you may specify a limit for the number of times a bonus is given out within a window of time. If you'd like to keep the default behavior, please leave the *Limit* field blank.

Apply minimum shift length

Set a minimum number of paid hours for the shift. If the total paid hours for the shift (excluding unpaid breaks) fall below the minimum requirement, this action extends the clock-out time to ensure payment for the full minimum hours. The employee is paid the rate for that time as if they had otherwise worked.

Action

Apply overtime

Apply pay rate

Add supplemental hours

Apply premium

Apply piece rate premium

Apply to Leave Balance

Apply minimum shift length

Apply minimum shift length

Set a minimum number of paid hours for the shift. If total paid hours in the shift (excluding unpaid breaks) fall below the minimum requirement, this will extend the clock out time to ensure payment for the full minimum hours, and the employee will be paid the rate for that time as if they had otherwise worked.

Minimum number of paid hours

4

hr(s)

min(s)

Back

Save

Note: If a custom pay policy has multiple rules, each with a *Minimum shift length* action, the highest action applies; they do not stack. For example, if one rule applies a 1-hour minimum shift length and another rule applies a 3-hour minimum shift length, the highest applies, so the 3-hour minimum shift length.

Step 3: Assign members to a custom pay policy

Custom pay policies apply to the workers who are added as policy members. You can assign group membership rather than adding individuals to reduce manual work and ensures individuals are assigned to the correct policies as their employment with your

company evolves. You can use Rippling attributes (such as department, work location, etc.) to assign policies to groups, or you can build a supergroup. With supergroups, Rippling will automatically assign individuals to custom pay policies based on your policy assignment rules when a new hire starts or individuals have a change to their work location, department, employee type, etc. Learn more in this article about [defining supergroups](#).

Note: This article provides instructions for the new Time Settings experience, which is currently available to a limited set of customers. If your experience doesn't match what's described, your account may not have been upgraded yet — navigate to **Time > Policies** instead and locate the relevant policy category. Learn more in this article, which provides an [overview of the new Time Settings experience](#).

To assign members to custom pay policies, follow these steps:

1. From the main sidebar, select **Time**.
2. From the *Time* sidebar, select **Time Settings**.
3. Scroll to the *Attendance* section and click **Custom pay**.
4. Find the policy you want to assign members to and click the **pencil icon** in the *Employees this policy applies to* section.
5. Specify the groups of individuals to which the policy applies (e.g., employment type, work location, department).
6. Click **Insert**.

If an employee belongs to multiple groups that have been assigned to different custom pay policies, the policy located closest to the top of the page will be applied to the employee. You can drag and drop policies to change their priority.

Edit a custom pay policy

Note: This article provides instructions for the new Time Settings experience, which is currently available to a limited set of customers. If your experience doesn't match what's described, your account may not have been upgraded yet — navigate to **Time > Policies** instead and locate the relevant policy category. Learn more in this article, which provides an [overview of the new Time Settings experience](#).

To edit the custom pay policy, follow these steps:

1. From the main sidebar, select **Time**.
2. From the *Time* sidebar, select **Time Settings**.
3. Scroll to the *Attendance* section and click **Custom pay**.
4. Choose how employees are paid: **Payroll (US)** or **Global Payroll**. If you select Global Payroll, choose the applicable country and entity.
5. Locate the custom pay policy that triggers the missed break premium and click the **pencil icon**.
6. Update the custom pay policy as necessary.
7. Click **Save**.

Frequently asked questions

How does Rippling handle it if an employee is owed both a custom pay rate and overtime for the same period of time?

If an employee is owed both a custom pay rate and overtime for the same period of time, by default, Rippling applies the owed overtime multiplier to the custom pay rate, and pays out the final rate as "{Custom pay rate} overtime" on the paystub. However, customers paying workers with US Payroll can credit a custom pay rate towards owed overtime compensation if you'd like to disable paying out "{Custom pay rate} overtime."

If you select to do so, Rippling will only allow the custom pay rate to count towards the owed overtime if the rate is greater than or equal to the owed overtime (e.g., a holiday custom pay rate paid out at 1.5x the employee's base pay can be credited towards 1.5x overtime, but not towards 2x overtime). In the case in which the custom rate is able to successfully count towards the owed overtime compensation, and the setting to do so is enabled, Rippling will only pay out the custom pay rate for the applicable period of time, and will not pay out "{Custom pay rate} overtime".

Can I set up custom pay policies for my salaried employees?

Yes, you can set up custom pay policies for your salaried employees, but you would want to use the *Apply premium* action instead of the *Apply pay rate* action. This is because pay rates replace an employee's base pay with the custom rate and replacing an employee's base salary has a lot of complicated downstream ramifications, including tricky proration calculations. For that reason, it's simpler to use pay premiums because they are paid in addition to base rate, not as a replacement.

See also

Learn more in these related resources:

- [Set up shift differentials](#)
- [Set up holiday incentive pay](#)
- [Set up missed meal, rest break, or other premium payments](#)

Tip: You can customize any of the above examples for your company's unique custom pay rules.

Was this article helpful?



